

#5 HOUR MILLIONAIRE

A Beginners Guide to Forex Trading Success
The Secret to Making Millions While You Sleep



EDWARD MILLS

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Introduction

Forex trading involves buying and selling of different currencies. Just like investing money in the stock market, banks, commodities, etc., forex trading entails purchasing currency at a certain rate and then selling it at a premium rate. Traditionally this business was done through brick and mortar set ups only, but now, with the advancement of e-commerce and especially, e-safety, forex trading is being practiced online also.

There are software programs available to help trade online and make money. It is a much more convenient way of engaging in this trade rather than doing it offline. There is a smaller investment required and the start-up time is much shorter. You can invest as less as 5 hours every week and still make a decent living. That is exactly what this report will teach you.

To begin with, you need to beware of the multiple money making scams on the internet. Some will tell you that there is no investment required while some will say that there are absolutely no losses associated in this line of work. This notion cannot be further from reality. Just like any business, this one also comes with its due share of risks and investment. But, with proper guidance, ground work and careful planning, one can avoid any financial mishaps and go on to make a decent amount of money through this trade and invest very little time.

This report will talk about the science behind the Forex business so you know the trade well. Simply applying techniques that you picked off the internet will surely help make a quick buck, but will not help you in establishing your business in the long run. Hence, it is important that you work to grasp the concept and then begin trading.

We will talk about how currency rates are influenced and where all forex market is used. Countless industries utilize the forex market e.g. banks, corporations and governments, for their own individual needs. It could be for import and export of goods or simply for investment purposes.

The report will then delve into the gist of the matter: forex trading from home and how you can do it best. Some useful tools will be explored to get you started and a small tutorial will be provided on making your account and doing a mock trade just to get you started. Once you are comfortable with the system, you can launch your own business online. The initial few days will require you to invest more time than 5 hours. But as you master the art of forex trading, you can cut down on your working hours.

The report will also provide you some tips on what to do and what not to do while trading so you are aware of what to look out for. The risks associated with the business

will be clearly explained so you can know what you are getting into, and can best prepare yourself before launching.

This report will aim at providing you hands-on guidance of forex trading so you are well-equipped and confident when trading online.

How does Forex trading work?

Just like any investment, the principal behind forex trading is the same – buy something which will, in time, gain value and then you sell it at a profit. For forex, it is the buying and selling of currencies. With most financial markets, the phrase ‘buy low now and sell high later’ applies, but with forex, you can also sell high at the moment and buy low later. Therefore, it does not matter what direction the price movement is – you will make a profit if you play by all the rules correctly.

Popular currencies

There are far too many currencies that get traded in the forex market, but the top eight are listed below.

Symbol	Currency	Country	Also Called
GBP	Pound	Britain	Sterling
USD	U.S. Dollar	America	Dollar
EUR	Euro	Euro nations	Euro
JPY	Yen	Japan	Yen
AUD	Aussie Dollar	Australia	Aussie
CHF	Franc	Switzerland	Chef, Swissy
CAD	Cad Dollar	Canda	Loonie
NZD	N.Z. Dollar	New Zealand	Kiwi

Forex Quotes

Whenever you will see a Forex quote, it will be stated as a pair. An example is:

One British Pound is currently worth two US dollars.

The above can also be written as:

One GBP unit is currently worth Two USD units;

Or as: GBP vs USD = \$2.0;

Or as: GBP/USD = \$2.0

Common Terminologies

Base Currency: The base currency is the first currency mentioned in the pair. Using the example of GBP/USD, GBP is the base currency.

Quote Currency: The second currency mentioned in the quote is the quote currency. In the above example, USD is the quote currency.

Rate: The rate tells the units of the quote currency required to buy one unit of the base currency. Using the GBP/USD example, you need 2 USD units to buy 1 GBP.

Similarly, if the quote says $\text{EUR/USD} = 1.3$, this means you need 1.3 USD to buy 1 EUR.

Pip: A pip is the smallest price change that an exchange rate makes. Most major currencies are priced to 4 decimal places and the smallest change is that of the last decimal point. The Japanese yen (JPY) is an exception because its pairs are quoted to the second decimal point.

Understanding Long and Short

This concept is slightly tough to understand, but for beginners, it is advised to remember this first:



Buy = Long

Sell = Short

Or simply, learn the acronyms: BL and SS.

The basics of the forex trading entail anticipation of when the value of a currency will go up or down. As a forex trader, you will need to figure when the base currency will go up or down as compared to the quote currency.

Once you do your analysis and you foresee that **GBP/USD** will go **up** (GBP value will increase against the USD), then you should open a long, which means to buy. You **buy the GBP and sell the USD** which is your quote currency. Thus, for you to make profit, you want the GBP value to rise and the USD value to fall because it will take more US dollars to buy a pound.

If your analysis says that **GBP/USD** will go **down** (USD value will increase and GBP will decrease), then you need to open a short position, which means you **sell the GBP** which is your base currency and **buy the USD** which is your quote currency. For you to make a profit, you want the USD value to rise and GBP to fall since it will take less US dollars to buy a pound. You bought the pound at a higher rate earlier. If you sell at a lower price, you close a profit for that position.

It may seem a little tough at the moment, but once you start practicing with a mock account, you will be able to understand this better.

The summary of above lesson:

Long or Buy = Buying base currency; selling quote currency.



Short or Sell = Selling base currency; buying quote currency.





Or simply, learn the acronyms:

LBBSQ (Long: **B**uy **B**ase; **S**ell **Q**uote)

SSBBQ (Short: **S**ell **B**ase; **B**uy **Q**uote)

Understanding Spreads

To understand spreads, look at the below quote from a Forex broker:

BID (SELL)	ASK (BUY)
GBP/USD 2.0414 (100,000)	GBP/USD 2.0418 (100,000)

These quotes always come with bidding and asking prices. The bid price is one which your broker is allowing you to open a short position with. The ask price is one with which they are allowing you to open a long position.

When you open long, in order to close it, you need to open a short too. Similarly, when a short is opened, you need to open a long so you can close it.



Taking the above example, let's suppose we opened a long on GBP/USD at 2.0416. In case we want to sell it the minute we bought it, we can sell it at 2.0413.

This means we lose at this moment because we are selling it at a lower price. When you buy it, you are already a little on the back foot. As a trader, your aim is to wait until that price goes up. When the bid price goes up to 2.0417, you make a profit!

Thus, any price between 2.0413 and 2.0416 is the spread, and it is what the broker takes home when you make a trade.

Roll Over

At 5pm US EST, in case you are holding an open position, your account is either debited or credited, and interest is given on the full size of your position. Debiting or Crediting depends on if your position is long or short. The interest rate difference between the 2 currencies of your trade also matters here.

Let us take the GBP/JPY for instance. The primary interest rates are higher in Britain than Japan. If you go long in GBP/JPY, you earn interest at 5pm. Just subtract the quote currency's interest rate from that of the base. Thus, if Japanese rate is 1% and British is 2%, then you get 1% ($2\% - 1\%$) interest on roll over when you go long on GBP/JPY.

The converse is true for short position. You lose 1% on roll over.

To avoid roll over fees, just ask your broker not to have any positions open at that time.

Determinants of currency rates

In order to successfully carry out forex trade transactions, one must do a thorough analysis of the currencies. You should know what makes the currency values go up and down. Following are the parameters to look out for.

1- Inflation Differential:

A country that has a lower inflation rate will have its currency rising in value because its purchasing power is higher than other currencies. Around the last half of the 20th century, Germany, Japan and Switzerland had low inflation rates; and Canada and the US achieved them later on. Those countries that have high inflation have their currencies depreciate in relation to the trading currency. This happens alongside higher rates of interest.

2- Interest Rate Differential:

Exchange rates, inflation and interest rates are highly co-related. Central banks influence inflation and exchange rates through manipulation of interest rates. A higher interest rate will get the lender of that country a higher return. This attracts foreign capital and increase the exchange rate. The converse is also true. Lower interest rates will decrease exchange rates.

3- Deficits in Current Account:

Current account is the trading balance between a country and its trade partners with respect to services, goods, dividends and interest. If there is a deficit in current account, the exchange rate will go down.

4- Public Debt:

Countries with high public debts are not too attractive for foreign investors because it leads to inflation and with that if the debt is high, it will be paid off with cheaper dollars in future. If the government cannot service its debt domestically, then it will sell more securities to foreigners. This will lower the price of these securities. Also, a high debt gives the perception of an imminent default.

5- Trade Terms:

If the price of a country's exports rises more than the imports' then terms of trade are favorable. This means there is a higher demand for that country's exports. A higher revenue from exports increases that country's currency's demand and hence, its

value. The converse is also true.

6- Economy and political stability:

It is obvious that foreigners will seek to invest in countries that have a better economy and political stance than others. Both of these factors of a country can lead to curtailing confidence in the currency, thereby moving the capital to more robust economies.

Application of Forex market

Apart from retail forex traders who trade currencies for free or for money, many other categories trade with forex on a daily basis. They are explained below:

General Public:

General public trade forex even without them knowing that they are doing so. When they visit foreign countries, they need currency to buy goods and services. They trade their native currency for the country's that they are visiting. They also do it when they use their credit cards to pay for accommodation, transportation, shopping or any other service. The price charged to their card will be equivalent to the rate of the local currency at that time. They will save some money on the commission charged by the currency centre by using the credit card. Although an individual case may not amount to a lot of money in the forex market, but when you consider millions of people trading this way, then the overall number is huge.

Businesses:

Those businesses that import goods or conduct any business with an offshore outsourced company, they will use forex to complete their transactions. A lot of businesses import goods and even services because their desired good or service is not available in their local country or because they are aiming for certain cost savings by buying off from a foreign country. Whenever they avail these services or buy these goods, they have to pay for them in the seller's local currency. These businesses require foreign exchange in a large amount depending on the magnitude of their business or requirement. Hence, they may choose to pay daily or in bulk whenever the exchange rates are favorable for them. Payment terms are set with the seller as per mutual understanding. But businesses may incur losses if they have to trade daily, and for that purpose, hedging strategies are used to overcome volatility in the market and also not upset the seller they have been doing business with.

Speculators and Investors

These traders trade forex in international markets through a direct broker or via an online trading platform. To explain this, let us take an example of a trader who originates from the UK and that makes his currency the Great British Pound (GBP). He buys and sells stocks, commodities and bonds on the NASDAQ. There, the transactions are all done in United States Dollars (USD). This trader will need a considerable amount of liquid cash to carry out his transactions. He would exchange his home currency while Google stocks are low, making them a good choice to buy, not because

the stock might not yield well, but because his local currency is more expensive to exchange to USD so he can make the purchase. Thus, traders and speculators maintain large balances which they later on trade to foreign currencies on the basis of existing market prices. This way they benefit from better exchange rates which can be efficient in case a trading opportunity arises.

Other traders

Generally speaking, there are two kinds of traders: technical traders and fundamental traders. The technical sort is more geared towards statistical and mathematical analyses and has a greater affinity for risk. They constantly open and close their positions and may even resort to using forex robots for their trading. They use charting tools, quantitative trading theories and models to chalk out their trading plan for a day and to minimize their loss.

The second broad type – the fundamental ones are the basic traders. Their tactics are milder and are more risk averse. They may use conventional signals to chalk out their trading outline for the day or week. They use financial news, signals from political and financial occurrences which may trigger some sort of chain reactions in the forex market, etc. They may even track changes in GDP, interest rates, inflation, employment stats, military clashes, political occurrences, and even natural calamities to predict movement in exchange rates.

Once you start out, you will obviously belong to type 2 mentioned above. But your learning curve will determine how soon you move on to type 1.

Forex trading from home

The forex market is considered to be the most liquid of all. Trading in this market allows a lot of traders to make profit fairly easily if you play your cards right. With this fast moving rate of technology growth and the internet, it is becoming very easy for people to work from the comfort of their homes. There are software programs available for you to trade and a wealth of information on current affairs, the global financial market, etc. There are currency charts available at the click of a button which will help you chalk out your strategy for the day's trading. Forex trading provides the highest returns depending on your level of trading skills and the size of the currency. But, do not confuse it for those get-rich-quick schemes, and do your research of the currency market before laying out any of your own investment.

In case you are looking to trade from home, be wary of the following and we will then explain how you can train yourself for real-time trading:

- 1- **Guard your profit:** The forex market is ruthlessly fast, and your profits may get converted to losses in just a few minutes. Arrive at a safe way of managing your investment. For newbies, start with 15 pips at one time and risk only 2% of your trade. This way your loss will be minimum and you will make money fast.
- 2- **Set your target:** Establish a near term profit target, e.g. 10 pips. Once you achieve this, think of it as your break even. If it goes up, every 5 pip increase, you raise your stop by 5 pips. Do not touch this money and this will be your profit to keep.
- 3- **Do not be impulsive while trading:** Study market trends and use tools to determine price movement in the future. If you use them, you will continue to make profit and also guard the profit you made earlier. If you trade blindly, you are gambling and there is no dumber way to lose money in this market.
- 4- **Pick the right pair to trade:** The currency pair you choose to trade matters greatly along with the strategy you apply on them. Newbies should pair a strong currency with a weak one. How to choose the currency? Pick a country that is economically stronger. Its currency will be better as mentioned in the determinants of currency rates.
- 5- **Determine risk:** Think about how much risk you are willing to take. This way even if you make a loss, the damage will be minimal. Stick to the stops you determined earlier and you should be okay. A thick skin is required in any trade, so do not be disheartened if you go wrong initially.

Forex trading tools

Demo Accounts



If you are a beginner, it is important that you first start out with a practice account and see how you go with it.

Many forex brokerage firms provide a forex trading demo account which works like a real account in all ways except that there is no real money involved. There is fake currency which you can use to trade under real conditions without any risk of making a loss. This way you will learn how to trade and also

experiment with new trading ideas at zero risk of losing money.

Brokers that provide free forex demo accounts include **Oanda**, **FXCM** and **Gain Capital**.

Some of them have limits for the duration of free usage, while others provide unlimited free use. In the examples above, Oanda has no limit of usage; FXCM has a 30 day limit and Gain Capital also has a 30 day limit. These are just few to quote. Many other forex brokers provide free demo accounts.

These demo accounts are really helpful because no matter how easy you think the forex market seems for trading, it is full of traps which an amateur can easily fall into.



Once you have flexed your trading muscles with the demo account, you can move on to real trading with real money. There are three types of accounts to choose from: **standard lots**, **mini lots** and **micro lots**. Beginners are advised to start with the mini lot as you can do so with as little as \$50.

Trading Platforms

You can trade real time and with real money through any one of the many trading platforms. These platforms can be web-based, downloadable programs or mobile applications. Some popular platforms that provide one or all three of these formats include **FxPro, Oanda, Fx market Leaders, AvaTrade, eToro, XM.COM, Plus 500** and **iForex**.

Tools that facilitate trading



There are many tools, both free and those at reasonable prices, available online if you want to start trading.



When talking about tools for trading, there are different types of tools for each kind of trader. For example, a

technical trader will use **currency charts** and **economic calendars** to study the market and they will help predict future activity of the currencies.



Fundamental traders use fundamental analysis to make their strategy for trading. They keep track of economic, political and social events and see how they impact currency prices. Reading Forex News also helps them keep track of currency movements.

Some companies even offer trading signals to prompt you to make a trade based on economic market events. They will tell you when to enter and when to exit the market in order to get the best yield. This is more convenient than reading charts and having to stay up to date with financial news. If you purchase these tools, there are people sitting backstage who will do this research and analysis for you.

How to do Forex trading from home?

If you want to make money off the forex market while sitting in the comfort of your home, then there are four ways to do it:

- 1- Trade currencies
- 2- Sale of forex signals
- 3- Sale of forex related software programs
- 4- Introduction of clients to forex brokerages for a commission



Trading Currencies

This is the most demanding of all four options. It entails learning the trade of forex, determining future movements and placing trades appropriately. It will require a lot of practice before you can start to make a profit, but if and when you do, you are probably set for life. These skills will stay with you and you can

make it your source of income which is as convenient as no other.



Sale of forex signals

If you have mastered trading, then rest assured that thousands of people are looking for your services. They will want you to identify opportunities and threats in the market and provide them the entry and exit signals which will enable them to make profit or save themselves from losses. You can provide these services for a monthly fee to a number of subscribers, and make money off it, while trading for yourself too.



Sale of forex related software programs

You can create an expert advisor in the form of a forex robot on the basis of a profitable strategy and sell it online. You will need to find a website or a platform which will accept immediate payments from your customers and deliver the software to them in due time. This business will run on its own after you create a software program, until of course an

update is needed.

Introduction of clients to forex brokerages



As explained in the second chapter, brokers make money off the trading spreads of the traders. They will be more than willing to share their earnings as commission with you if you bring them clients. You can do this by trading, then offering signals for a discount if they hit a referral link. As the traders trade, you make money off their spread. If you manage this well, you will have a steady stream of income coming in with minimal effort.

When Not to Trade

There are a number of personal instances wherein you should not be trading. They are all listed below:

- 1- **While drunk:** It goes without saying that with so many numbers and calculations involved, you need a clear head to trade. There are a number of mistakes you can make while trading in a drunken stupor like delays in response time and fighting with an opponent, etc.
- 2- **Being distracted:** Dedicate a room of your house for trading where no one can disturb or distract you. They can be costly when trading. You are in the middle of a trade and someone calls you out. You go to answer them and till you are back, an opportunity is missed. Such distractions should be dealt with before or after your trading period.
- 3- **Emotional state:** If you are upset, angry or brooding over something, then its best to sleep it off. If your mind is elsewhere or on an overdrive, then it is best to hold your trading.

There are some market reasons also because of which you cannot trade:

- 1- **Bank Holidays:** Banks are the biggest players in the Forex market, and if they are not playing, then there is no point trading. The volume of transactions goes down when banks do not participate, and this can lead to a slow market or maybe even erratic movements. Hence, it is advised that the currencies whose countries are having a bank holiday should not be traded. If its US and UK, do not trade at all.
- 2- **News:** Scheduled news releases and economic news which are found in economic calendars should be looked out for. There are three types: yellow, orange and red. The color denotes the intensity of the news and their impact is explained in the calendar. Watch out for folders which should not be traded in by new traders. Red folders are high impact ones and can move markets. It is a good idea not to trade for the hour before or after the news because even if interest rates, ISM manufacturing data and NFP related news is not true, the rumors will destabilize the market.
- 3- **Speeches:** When industry big shots are speaking on TV, hold your trading. You will see it in the news too. These people include the ECB president Jean-Claude Trichet or Governor of BOE, Mervyn King. These people may drop hints

about the economic policy which may cause changes in the interest rates and thereby a movement in currency rates. Even simple speculation can lead to a shifty market. That's why it is best to stop trading at that time.

4- Erratic Periods: When you see a currency moving differently than its normal course, it is best to hold your trading. If there is erratic behavior and you cannot decipher it, then chances are that there was unscheduled news which was leaked or released. It is a confusing period and the market does not know how to react to it.

5- Weekends: Do not hold traders over the weekend unless your strategy is to hold them for longer periods of time like weeks or months. A weekend can make a lot of imminent headlines, like a bank going bust or a terrorist attack somewhere. This can cause a large gap in your trading position and harm your balance. Thus, it is important to always start fresh on a Monday.

6- Opening or closing of the market: Either avoid these timings or be super wary. When the market is closing, a number of trading positions are also closing simultaneously. This makes the market volatile and the price may move erratically. Similarly, when the market opens, a lot of people are opening positions since they do not want to hold them off till the weekend.

7- Summer Holidays and December: A lot of the bank staff takes holidays during this period, and hence the market is slow. No point trading when the markets are flat. You should go and take a holiday too.

Conclusion

Just like any trade, even the forex market has a lot of risks associated with them. Be wary of online scams and misleading spikes in currencies as mentioned earlier. When you are starting out, your key should be to learn, learn and learn more. Observe the market and how brokers are moving currency. This would take a little while for you to learn, but when you master this art, you will be able to make a decent living off this trade by working as less as five hours every week.

Also, the important thing is to not be greedy and expect lucrative returns right at the onset of your trading. In the first few trials, you might hit a few losses because the market is obviously faster and more mature than you are. For that very purpose, it is said that a newbie should start with a demo account and then a mini lot with an investment as less as \$50. Once you master these media, take baby steps in increasing your investment and then going all out. Risking all your investment at the inception stage is not wise in the forex market just like other trades.

We hope this eBook will help you understand the basics of forex trading and provide you with a launching pad for this business. The rules of the trade will stay the same but strategies will differ and develop at every stage. Thus, it is important to stay abreast with news pertaining to the forex market and continuing to improve your learning curve.

